

E v F

[2026] EWHC 1493 (Comm); CL-2025-000395

High Court of Justice, Business and Property Courts of England & Wales, King's Bench Division, Commercial Court

Jurisdiction

England & Wales

Area of law

Arbitration; Bilateral Investment Treaty disputes

Legal question

Whether the State should be permitted to amend its claim challenging an arbitral award under sections 67 and 68 of the Arbitration Act 1996, when the amendments are sought 162 days after the award and well beyond the 28-day statutory time limit for challenges. What factors should guide the court's exercise of discretion in permitting amendments to time-barred arbitration challenges?

Key facts

An Arbitral Tribunal made an award on 31 July 2025 under a Bilateral Investment Treaty and the UNCITRAL Rules 1976, finding it had jurisdiction and ordering compensation to be paid to F. The State commenced proceedings on 27 August 2025 challenging the Tribunal's jurisdiction under section 67 of the Arbitration Act 1996 and alleging serious irregularity under section 68. On 9 January 2026, 162 days after the award, the State applied to amend its claim, with some amendments agreed or unopposed and others opposed by F. The substantive hearing of the challenges has been fixed for June 2027, and the court found that the amendments would not in practice delay the determination of the State's challenges. The State argued it had established a procedural "bridgehead" by launching a compliant claim within the time limit and sought to amend to refine and develop its existing arguments.

Holding

The Court refused the State's application to amend its claim, save where amendments were agreed or unopposed. Although the Court acknowledged that the Kalmneft factors provide useful guidance, they are not a closed list and all material circumstances must be considered. The 162-day delay (over five times the 28-day statutory limit) constituted very considerable delay under Kalmneft factor (i). The State failed to demonstrate it was acting reasonably in all the circumstances under Kalmneft factor (ii), and neither F nor the arbitrators caused or contributed to the delay under factor (iii). Whilst F would not suffer irremediable prejudice and the arbitration had not continued during the delay, the Court found that allowing amendments at this stage would compromise finality and violate the foundational statutory principle of obtaining fair resolution without unnecessary delay or expense. The circumstance that amendments would not delay the substantive hearing did not overcome the weight of the very considerable delay already incurred.

Significance

This decision establishes important limitations on amending arbitration challenges, even where an in-time claim has been launched and amendments would not further delay the substantive hearing. It affirms that the statutory policy favouring finality and avoiding unnecessary delay in arbitration applies to amendments as well as to new challenges ab initio. The judgment clarifies that the "bridgehead" doctrine—establishing an in-time procedural claim—does not significantly relax the application of Kalmneft factors, particularly regarding delay. The decision has practical importance for respondents to arbitration challenges, as it protects them from significantly widened scope of claims through late amendment despite fixed hearing dates.

Precedent impact

The judgment refines the application of Kalmneft principles to amendment applications in arbitration challenges. While acknowledging that the Kalmneft factors require adjustment when considering amendments to existing in-time claims (rather than entirely new late challenges), the Court emphasizes that very considerable delay remains a significant barrier. The decision may influence future amendment applications in arbitration cases and establishes that the statutory principles of finality and avoiding unnecessary delay apply with particular force to amendments sought well after the statutory time limit.

Full judgment URL

<https://www.bailii.org/ew/cases/EWHC/Comm/2026/1493.html>